

EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE – 56



**INDIAN
ECONOMY - 12**

Scheduled Commercial Banks present robust health, as per the recent Financial Stability Report (FSR) of RBI

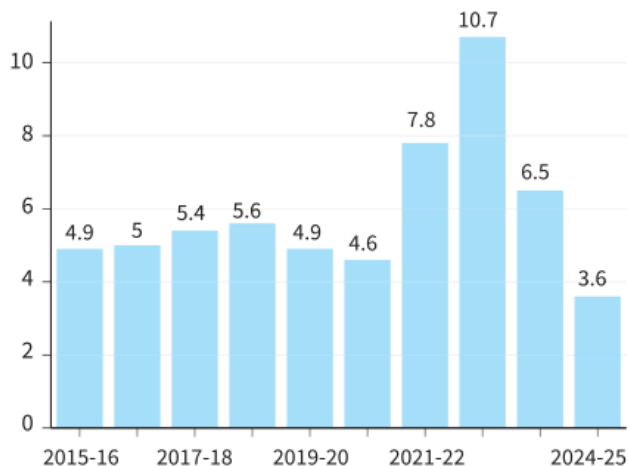
Health tracker heat map – Scheduled Commercial Banks (SCBs)

	(Per cent)	10-year Average	Mar 31 2025	June 30 2025	Sep 30 2025
Credit and Deposit	Credit growth	10.6	11.0	10.0	11.0
	Deposit growth	10.1	10.7	11.2	9.8
Asset Quality and Provisioning	GNPA ratio	6.9	2.3	2.3	2.2
	NNPA ratio	2.9	0.5	0.5	0.5
	Slippage ratio (Q)	1.3	0.3	0.4	0.3
	PCR	62.4	76.3	75.9	76.0
Liquidity	LCR	133.8	132.5	132.7	131.7
	NSFR	120.5	126.4	127.0	124.7
Earnings	Nil growth	11.8	7.9	2.0	2.3
	OOI growth	11.6	18.0	41.8	26.1
	EBPT growth	11.5	14.9	16.4	9.8
	PAT growth	38.4	16.8	6.1	3.8
Profitability	NIM	3.3	3.5	3.3	3.3
	ROA	0.6	1.4	1.3	1.3
	ROE	6.1	13.5	12.5	12.5
Capital	CET1 ratio	12.5	14.8	15.0	14.8
	CRAR	15.4	17.4	17.5	17.2

Source: RBI FSR

Trends in India-Israel bilateral trade

CHART 1: Trends in India-Israel bilateral trade from 2015-16 to 2024-25 (in \$ billion)



India's top five exports to Israel and top five imports from Israel

CHART 2A: India's top five exports to Israel and each commodity's share in total exports

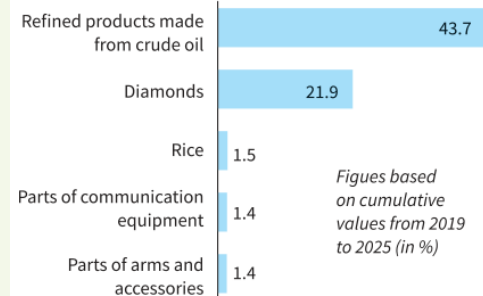
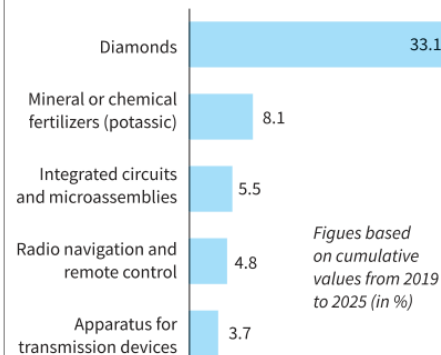
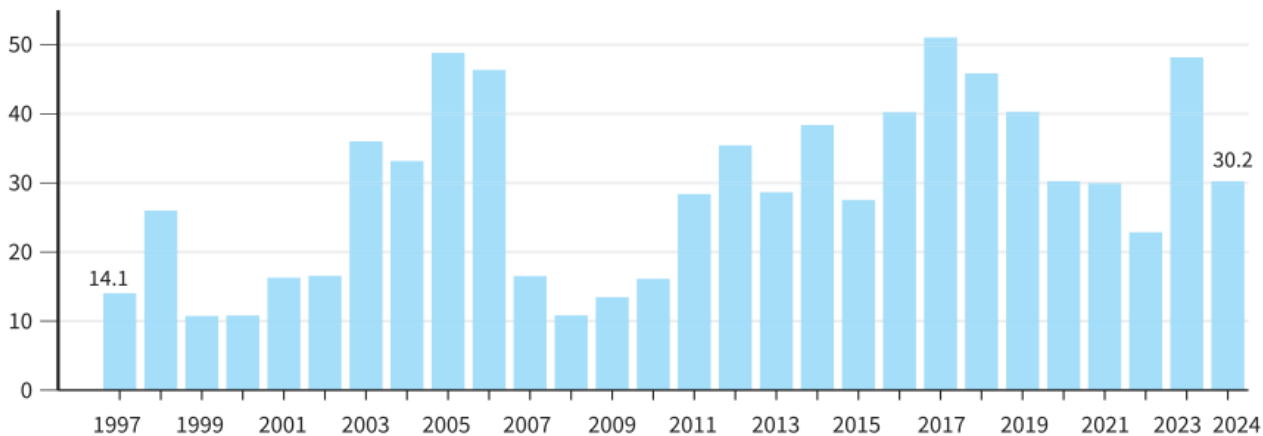


CHART 2B: India's top five imports from Israel and each commodity's share in total imports



India has emerged as one of the largest importers of Israel's arms and ammunitions

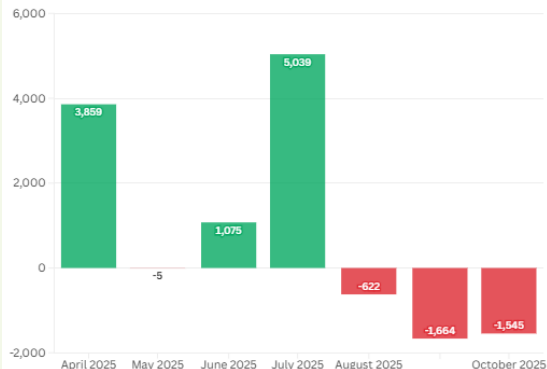
CHART 3: India's share in Israel's arms exports from 1997 to 2024 in %. India has emerged as one of the largest importers of Israel's arms and ammunitions



Net negative

Net FDI into India was negative for the third consecutive month in October due to falling inflows and higher outflows

In \$ million



Source: RBI

- India's net FDI remained negative for the third consecutive month in October 2025.
- The main drivers of the negative net FDI are a combination of a year-on-year fall in direct investments entering the country and an increase in outward direct investments made by Indian companies.
- As per RBI bulletin, "Net FDI was negative in October, mainly due to high repatriation and outward FDI". The key destinations for outward FDI were Singapore, followed by the US and the UAE, together accounting for more than half of total outward FDI.
- Repatriation and disinvestment by foreign companies operating in India stood at about \$5 billion in October 2025.
- As per RBI, foreign portfolio investments also turned negative in December, 2025.

What do you know about the new RBI framework for the deposit insurance from April 1, 2026?



- From April 1, Banks will pay deposit insurance premiums under the new system which will be implemented by the Deposit Insurance and Credit Guarantee Corporation (DICGC).
- India has operated a flat rate deposit insurance system since 1962, under which banks paid a uniform premium - currently 12 paise per 100 rupees of accessible deposits - regardless of their risk profile. The system was simple to administer but did not differentiate between banks that managed risks better.
- Under the new framework, banks will be assessed using financial and supervisory indicators such as capital strength, asset quality, earnings and liquidity, as well as the potential loss their failure could impose on the deposit insurance fund.
- The Central Bank introduced two risk assessment models, a Tier 1 model for Scheduled Commercial Banks, excluding regional rural banks, and a Tier 2 model for regional rural banks and cooperative banks. Premium adjustments will be capped with risk-based incentives limited to 33.33% over the card rate.

What do you know about the complex shareholding structure of Tata Sons?



- Tata Trusts, by definition a philanthropic organization, owns 66% in Tata Sons, which operates around 26 public listed companies and many other unlisted firms. Mr. Noel Tata became the Chairman of Tata Trusts after the passing away of Ratan Tata in October 2024.
- The second largest shareholder in Tata Sons is the Shapoorji Pallonji Group, an infrastructure and construction major, with an 18% stake.
- Tata Sons is designated as upper layer core investment company (NBFC) by the RBI in September 2022, mandating its listing in three years. The deadline expired in September 2025.

There are differences in the board for the third term for the Executive Chairman, N. Chandrasekaran. Under these circumstances, critics say that the first step to set the house in order is listing of Tata Sons.



- Recently, Union Finance Minister announced Rs. 1 lakh crore Economic Stabilization Fund to enable India to navigate global headwinds.
- Money will come from existing appropriation and additional allocation, though the government is expected to meet the fiscal deficit target of 4.4% of the GDP this financial year.
- Reallocating resources in a crisis is a sensible policy choice, as per economists.
- It is not clear how this fund will operate. It is also unclear whether this will be a permanent mechanism, to which money will be allocated every year. If yes, what will happen to the fund in a normal year? Hence, more operational clarity is needed.



FIVE-YEAR MORATORIUM GIVEN TO VODAFONE-IDEA FOR PAYING AGR DUES

- The Supreme Court verdict of October 2025, which was modified a bit a month later, allowed the Union Government to reassess and reconcile Vodafone-idea's AGR dues up to 2016-17.
- Subsequently, on December 31, the Union Cabinet approved to freeze Vi's AGR dues for 5 years. Hence, now Vi can pay the AGR dues of Rs. 87,695 crore from 2031-32 to 2040-41 instead of from March 2026.
- It is expected to enable the telecom operator to set its house in order by raising the funds, strengthening its business and arresting subscriber erosion in the meantime.

Vodafone-Idea debt exceeds Rs. 2.1 lakh crore with AGR related dues alone amounting to over Rs. 87,000 crore.

SAGA OF TELECOM PRIVATISATION

1994

1999

2010

2019

- Privatisation of telecom sector
- Huge upfront Fixed License Fee

Revenue Sharing Mechanism in place of Fixed License Fee

Allocation of spectrum on Auction Basis

AGR verdict by Supreme Court in favour of Government



THE DISPUTE OF AGR IS ABOUT WHAT CONSTITUTES REVENUES OF THE TELECOM COMPANY



- A revenue sharing format was introduced in 1999, where telcos were mandated to share a fixed percentage of their gross revenue with the government as a license fee and spectrum usage charge, but the definition of AGR (whether the entire revenues of the company or only the telecom revenue will be counted for paying the dues) has been a point of contention, sending the stakeholders to courts over the years.
- As per the operators, the Department of Telecom changed the definition of AGR in 2002-03 to include non-telecom income, such as foreign exchange gains and interest earned from bank deposits.
- Ultimately, the Supreme Court ruled that the definition of AGR includes entire revenues of the company. As per SC verdict, companies like Vodafone-Idea, Airtel were required to pay huge dues to the government.

GOVERNMENT HOLDS 49% STAKE IN Vi



- The government converted Vi's dues in tranches into its own equity. Anything beyond this will make the government a majority shareholder in the company.
- The moratorium is likely to lend a certain degree of predictability and stability to Vi's financial and business scenario while the Government reassesses the amount of the dues as permitted by the Supreme Court. Now, it is up to Vi to put its house in order.



WHY IS MINIMUM GLOBAL CORPORATE TAX IN THE NEWS RECENTLY?

- After months of talks, the OECD finalized changes to the accord on a global 15% minimum corporate tax that will exempt American multinationals.
- The global accord was agreed to in 2021, but the Trump administration renegotiated it in 2025.
- The amended version, in effect, recognizes that American multinationals are subject instead to America's minimum tax of 12.6% on foreign profits.
- The U.S. Treasury Secretary described it as a historic victory in protecting American businesses from extraterritorial overreach.

The agreement was reached by 147 countries and jurisdictions under the OECD/G20 inclusive framework.

WHAT IS THE OECD'S BEPS PROJECT?



- The OECD and G20 countries, including India, negotiated a new global tax architecture to curb Base Erosion and Profit Shifting (BEPS). It is a practice where multinational corporations shift profits to low tax jurisdictions with little or no real economic activity. It has two pillars.
- Under Pillar-1, a portion of taxing rights will be reallocated to market jurisdictions such as India, where digital and consumer facing companies earn revenues without significant physical presence. To expand further, as per Pillar-1 of the 2021 agreement, with respect to MNCs with a global revenue of 20 billion Euro and pre-tax profit of over 10%, 25% of the profit above this 10% threshold will be allocated to the countries where this revenue is earned.
- As per Pillar-2, which has been agreed upon now, large multinational groups are subject to a 15% global minimum effective tax rate implemented through coordinated domestic rules.

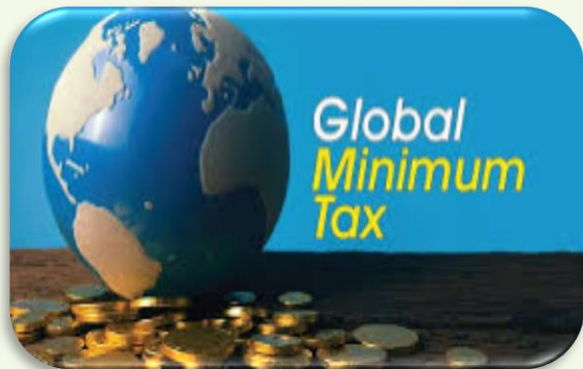
IMPOSITION AND DISCONTINUATION OF EQUALIZATION LEVY BY INDIA



- In 2016, the government had introduced an Equalization Levy of 6% on payments for digital advertisement services to non-resident entities exceeding Rs. 1 lakh. It was colloquially referred to as Google tax.
- In 2022, a 2% Equalization Levy was also imposed on e-commerce sites offering digital services. Thereafter, the Indian Government did away with the 2% levy from August 1, 2024.
- Subsequently, it moved to scrap the levy on online advertisements as part of the amendments to the Finance Bill 2025.

The levying of such taxes is intended to ensure that multinational tech firms pay their fair share of tax to market countries in a hard to tax sector.

PILLAR-2 IN DETAIL, WHICH HAS BEEN AGREED UPON NOW



- The present agreement is about global minimum tax on MNCs, which earn revenues over 750 million Euro. It lays down that irrespective of the corporate tax structure in any country, MNCs shall pay at least the minimum tax in the countries they operate in. A top-up tax can be levied by tax authorities on these companies if their effective tax rate is below 15%.
- The agreement ensures that the minimum tax is paid in all the countries where an MNC group operates. If a subsidiary of an MNC group pays less than 15% tax in a low tax jurisdiction, then the country where the parent entity of the group is situated can impose a top-up tax to bring the tax to 15%.
- The idea is to remove the motivation for MNCs to look for innovative tax arrangements to bring down their tax liability.

However, the exemption for American MNCs is a setback.

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